

tive." I didn't learn about it in business school, but it tends to have an enormous impact on how businesses are actually run. One of its main tenets is a copycat mechanism that decrees that any craving of a leader, however foolish, will be quickly supported by detailed rate-of-return and strategic studies prepared by his troops.

For example, every time it becomes fashionable to expand into some new line of business, some companies will expand into it. Then they get out of it about five years later, licking their wounds. It's very human; people do the same thing with their stocks.

*I've often felt there might be more to be gained
by studying business failures than business
successes.*

To illustrate, let me tell you the story of the oil prospector who met St. Peter at the Pearly Gates. When told his occupation, St. Peter said, "Oh, I'm really sorry. You seem to meet all the tests to get into heaven. But we've got a terrible problem. See that pen over there? That's where we keep the oil prospectors waiting to get into heaven. And it's filled—we haven't got room for even one more." The oil prospector thought for a minute and said, "Would you mind if I just said four words to those folks?" "I can't see any harm in that," said St. Pete. So the old-timer cupped his hands and yelled out, "Oil discovered in hell!" Immediately, the oil prospectors wrenched the lock off the door of the pen and out they flew, flapping their wings as hard as they could for the lower regions. "You know, that's a pretty good trick," St. Pete said. "Move in. The place is yours. You've got plenty of room." The old fellow scratched his head and said, "No. If you don't mind, I think I'll go along with the rest of 'em. There may be some truth to that rumor after all."